HSBC Global Investment Research

2 July 2026

Intel Corp (INTC US)

Buy: More upside from core server & foundry valuation

Equities
Semiconductors & Equipment

United States

- Server CPU growth remains the key driver for Intel's earnings growth in 2026/27
- Intel foundry narrative too good to ignore now; engagements could come to fruition starting in 2H26
- Retain Buy; raise TP to a street-high USD200 (from USD100) on inclusion of foundry in our SOTP valuation

Improving view on foundry business driving upside to our SOTP valuation: In our 21 April *Upgrade to Buy* note, we highlighted the unpriced server CPU upside as the key catalyst and did not include Intel Foundry in our SOTP valuation amid external customer-related uncertainty. Since then, the foundry capacity bottlenecks – both front and back end – have been widely acknowledged, and Intel's external customer engagement has been growing for both. We expect design commitments starting 2H26. Hence, we include Intel Foundry in our SOTP valuation, driving our TP increase.

Server CPUs remain key earnings growth driver with room for upside surprise: Intel is well positioned to deliver upside to 2026/27 server CPU shipments, driven by internal foundry capacity reallocation. For 2026, we raise our server CPU shipment growth estimate from 20% to 25% y-o-y, driving our DCAI revenue estimate to USD24.1bn (4% above consensus). While the gap with consensus has narrowed for 2026, we believe the street still underestimates 2027 growth potential despite a 23% upward revision since Intel's 1Q26 results. We raise our 2027 server CPU shipment growth estimate from 20% to 30% y-o-y as capacity for server CPUs expands amid reallocation, along with the ramp of 18A – running ahead of internal projections. Our 2027 DCAI revenue estimate of USD33.0bn is 20% above consensus estimates.

Improving foundry narrative; EMIB could drive material upside: Foundry constraints in front-end fabrication and advanced packaging are driving a supply-demand imbalance. With TSMC's additional 3nm capacity coming online only in 2H27, customers are exploring new foundry partners. Intel is emerging as a leading option, signing Terafab and Apple as customers, and engaging with Google and NVIDIA. Packaging also remains a pressure point – tight TSMC CoWoS capacity is pushing customers to consider Intel's EMIB solution. CoWoS-L is largely allocated to Nvidia, while CoWoS-S peaks at 3.3x reticle size. EMIB can scale to 12x reticle size, making it an attractive alternative. Our sensitivity analysis suggests a broader EMIB adoption could lift Intel EPS by 23% in 2028 vs the base case. Intel securing an order of 3m Google TPUs is a key driver of our 2027/28 foundry revenue estimate increase (8%/7% above consensus). Intel expects design commitments to emerge through 2H26 and into 1H27, leaving room for upside to capex – our 2027/28 capex estimates of USD18.8bn/USD20.7bn are 13%/10% above consensus.

Retain Buy, raise TP to USD200 (from USD100) on foundry driven SOTP upside: We value the core business using a 2027 target PE of 30x (previously 26x) and the foundry business using a target 2027 PB of 3.5x. Our rounded TP of USD200 (from USD100) is now the highest on the street as our 2026/27 EPS estimates remain 21%/55% above consensus. With c58% upside to our TP, we retain our Buy rating. We see core business strength coupled with our expectations of foundry engagements coming to fruition starting 2H26 and into 2027.

MAINTAIN BUY

TARGET PRICE (USD)	PREVIOUS TARGET (USD)
200.00	100.00

SHARE PRICE (USD)	UPSIDE/DOWNSIDE
127.02	+57.5%

(as of 01 Jul 2026)

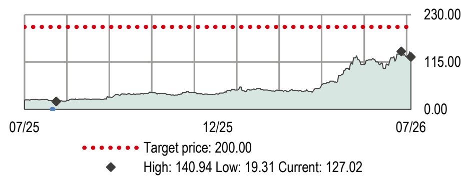
MARKET DATA

Market cap (USDm)	638,403	Free float	99%
Market cap (USDm)	638,403	BBG	INTC US
3m ADTV (USDm)	14,081	RIC	INTC.OQ

FINANCIALS AND RATIOS (USD)

Year to	12/2025a	12/2026e	12/2027e	12/2028e
HSBC EPS	0.43	1.33	2.42	2.99
HSBC EPS (prev)	0.43	1.17	2.16	2.50
Change (%)	0.0	13.5	12.5	19.5
Consensus EPS	0.34	1.10	1.57	2.51
PE (x)	298.3	95.4	52.4	42.4
Dividend yield (%)	0.0	0.0	0.0	0.0
EV/EBITDA (x)	70.7	58.2	35.7	29.6
ROE (%)	1.8	5.7	9.6	10.8

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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Financials & valuation: Intel Corp

Buy

Financial statements

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Profit & loss summary (USDm)				
Revenue	52,853	58,758	71,623	78,635
EBITDA	9,492	11,431	18,395	21,812
Depreciation & amortisation	-11,706	-13,014	-15,863	-17,416
Operating profit/EBIT	-2,214	-1,583	2,532	4,395
Net interest	3,257	-1,437	-882	-805
PBT	1,557	-1,962	3,200	5,562
HSBC PBT	1,557	-1,962	3,200	5,562
Taxation	-1,531	-553	-352	-612
Net profit	-267	-2,713	1,748	3,850
HSBC net profit	1,929	6,769	12,324	15,215
Cash flow summary (USDm)				
Cash flow from operations	9,697	12,773	19,030	22,999
Capex	-14,646	-15,453	-18,837	-20,681
Cash flow from investment	-14,821	-15,628	-19,012	-20,856
Dividends	0	0	0	0
Change in net debt	-9,442	-5,862	-8,289	-10,414
FCF equity	-4,949	-2,681	193	2,318
Balance sheet summary (USDm)				
Intangible fixed assets	26,684	24,732	22,352	19,740
Tangible fixed assets	105,414	109,806	115,159	121,036
Current assets	63,688	67,808	74,880	83,456
Cash & others	14,265	17,627	22,091	29,331
Total assets	211,429	218,163	228,385	240,399
Operating liabilities	38,484	39,763	41,540	42,854
Gross debt	46,585	44,085	40,259	37,086
Net debt	32,320	26,458	18,168	7,755
Shareholders' funds	114,281	122,236	134,506	148,381
Invested capital	143,037	144,954	148,761	152,046

Ratio, growth and per share analysis

Year to	12/2025a	12/2026e	12/2027e	12/2028e
Y-o-y % change				
Revenue	-0.5	11.2	21.9	9.8
EBITDA		20.4	60.9	18.6
Operating profit				73.6
PBT		-226.0		73.8
HSBC EPS		212.7	82.1	23.5
Ratios (%)				
Revenue/IC (x)	0.4	0.4	0.5	0.5
ROIC	-0.0	-1.4	1.5	2.6
ROE	1.8	5.7	9.6	10.8
ROA	-0.0	-0.3	1.6	2.4
EBITDA margin	18.0	19.5	25.7	27.7
Operating profit margin	-4.2	-2.7	3.5	5.6
EBITDA/net interest (x)		8.0	20.9	27.1
Net debt/equity	28.3	21.6	13.5	5.2
Net debt/EBITDA (x)	3.4	2.3	1.0	0.4
CF from operations/net debt	30.0	48.3	104.7	296.6
Per share data (USD)				
EPS Rep (diluted)	-0.06	-0.53	0.34	0.76
HSBC EPS (diluted)	0.43	1.33	2.42	2.99
DPS	0.00	0.00	0.00	0.00
Book value	25.23	24.05	26.46	29.19

Valuation data

Year to	12/2025a	12/2026e	12/2027e	12/2028e
EV/sales	12.7	11.3	9.2	8.2
EV/EBITDA	70.7	58.2	35.7	29.6
EV/IC	4.7	4.6	4.4	4.2
PE*	298.3	95.4	52.4	42.4
PB	5.0	5.3	4.8	4.4
FCF yield (%)	-0.8	-0.4	0.0	0.4
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	12/2024a
GHG emission intensity*	22.6
Energy intensity*	213.2
CO_2 reduction policy	Yes
Social Indicators	**12/2024a**
Employee costs as % of revenues	n/a
Employee turnover (%)	5.9
Diversity policy	Yes

Governance Indicators	12/2025a
No. of board members	12
Average board tenure (years)	4.6
Female board members (%)	25
Board members independence (%)	91.7

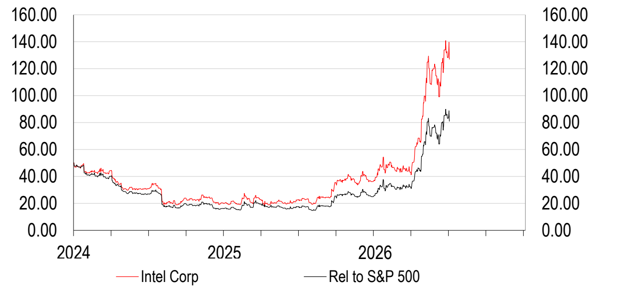
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	127.02	Free float	99%
Target price (USD)	200.00	Sector	Semiconductors
RIC (Equity)	INTC.OQ	Country/Region	United States
Bloomberg (Equity)	INTC US	Analyst	Frank Lee
Market cap (USDm)	638,403	Contact	+852 2996 6916

Price relative



Source: HSBC

Note: Priced at close of 01 Jul 2026

Why the Foundry business warrants inclusion in our SOTP now

In our 21 April *Upgrade to Buy* note, we highlighted that despite recent share price movement, the server CPU upside was not priced in. Since Intel reported its 1Q26 financial results on 23 April, the stock has rallied 90% (vs SOX +32% during the same period). Following the financial results announcement, the market acknowledged the agentic AI-led server CPU demand boost and how Intel stood to benefit from it as its 2Q26 guidance was much higher than market expectations, led by its DCAI segment. While server CPU remains the key for earnings growth, Intel has gained a lot of traction with external customers for its Intel Foundry – both on front-end wafer fabrication as well as its advanced packaging solution – Embedded Multi-die Interconnect Bridge (EMIB).

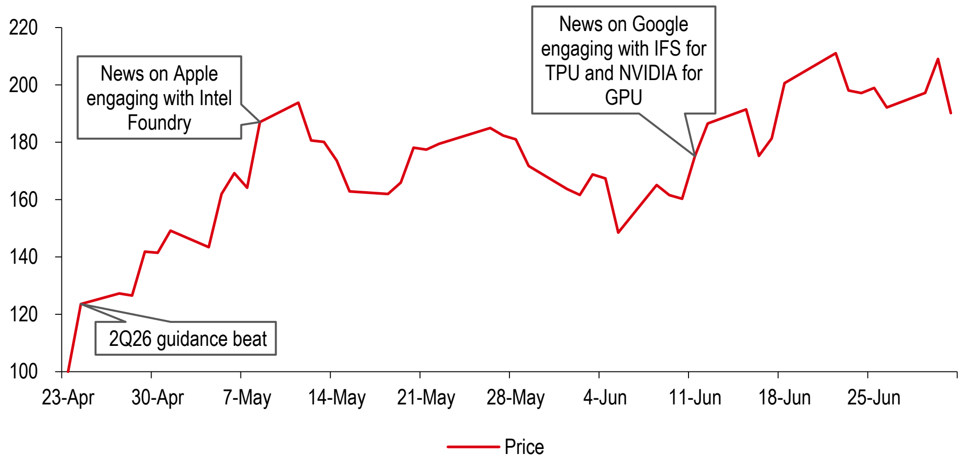
After adding Terafab as an external foundry customer, Intel has now reportedly added Google and Apple as external foundry customers as well (The Information, 8 June and Reuters, 18 June). While the exact product line for which Intel will fabricate chips for Apple remains unclear, it should help Intel lock-in steady demand, nonetheless. For Google, the initial order is reported to be of 3m TPUs, both to manufacture and package using EMIB through 2028. NVIDIA is also heavily engaged with Intel to evaluate its 18A or 14A process as well as EMIB packaging for its Feynman AI GPUs. While the compute logic is reported to be with TSMC, Intel is being considered for remaining silicon content as well as packaging.

Intel is also engaged with Microsoft and Amazon for its front-end foundry. Intel expects to release the 0.9 PDK (process design kit) for its 14A node to external customers in 2H26 and expects more customer engagements to start converting into design commitments starting 2H26 and into 1H27. The foundry business also remains vital for driving the server CPU shipment growth as Intel fabricates its server CPUs in house.

Meta and Amazon are also actively engaging with Intel Foundry for its advanced packaging solution (TrendForce, 9 June; TrendForce, 7 April) as chip on wafer on substrate (CoWoS) capacity at TSMC remains a bottleneck with NVIDIA continuing to get bulk of its CoWoS-L capacity. Given CoWoS-S is limited to 3.3x reticle size and CoWoS-L is majorly tied up with Nvidia, customers are viewing EMIB as an alternative that could reach 12x reticle size. Our sensitivity analysis suggests broader EMIB adoption could lift Intel EPS by 23% in 2028 versus our base case.

Overall, driven by the onboarding of both front-end and advanced packaging external customers, we raise our Intel foundry revenue estimates to USD23.5bn for 2026 (4% above consensus) and USD27.5bn for 2027 (8% above consensus). Therefore, we now believe that the Intel Foundry business is part of the post-result share price movement and now considered by investors to be a long-term business catalyst. Therefore, we now include the Intel Foundry business in our SOTP valuation.

Exhibit 1: Intel share price trend since 1Q26 financial results

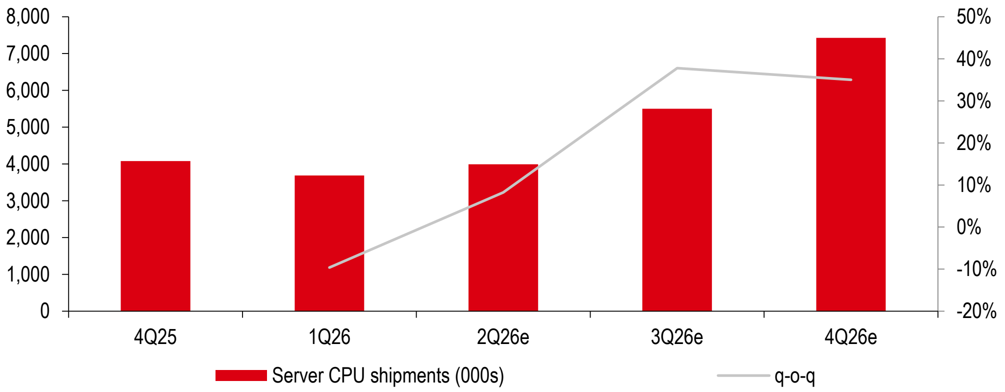


Source: FactSet, Reuters, The Information

Server CPU key to earnings growth with room for upside surprise

In our 5 March 2026 Global Tech Hardware note, we highlighted underlying demand for servers is pointing to growth of 60% y-o-y, which we think will be constrained by key component shortages. Intel fabricates all its server CPUs using its internal foundry and is currently in the process of reallocating internal manufacturing capacity on Intel 3 and 7 nodes from PC CPUs to server CPUs, to address the "unexpectedly high" surge in demand for high-end Xeon processors. We believe 1Q26 was the trough for server CPU shipments and shipments will continue to grow q-o-q throughout 2026 as Intel successfully reallocates capacity to server CPUs coupled with the ramp of its 18A node for Clearwater Forest.

Exhibit 2: Intel's server CPU shipments



Source: HSBC estimates

Given that foundry remains an industrywide bottleneck to meet the surging demand for server CPUs, we believe that Intel, being dependent on its internal foundry, is better placed than its competitors to drive upside surprise to shipments. Therefore, on the back of its active reallocation strategy as well as the ramp of its 18A node, we raise our server CPU shipment estimates. For 2026, we raise our server CPU shipment growth estimates from 20% to 25% y-o-y, driving our DCAI revenue estimate of USD24.1bn, 4% above consensus. For 2027, we raise our server CPU shipment growth from 20% to 30% y-o-y in 2027. Our 2027 DCAI revenue estimate of USD33.0bn is 20% above the consensus estimate of USD27.5bn.

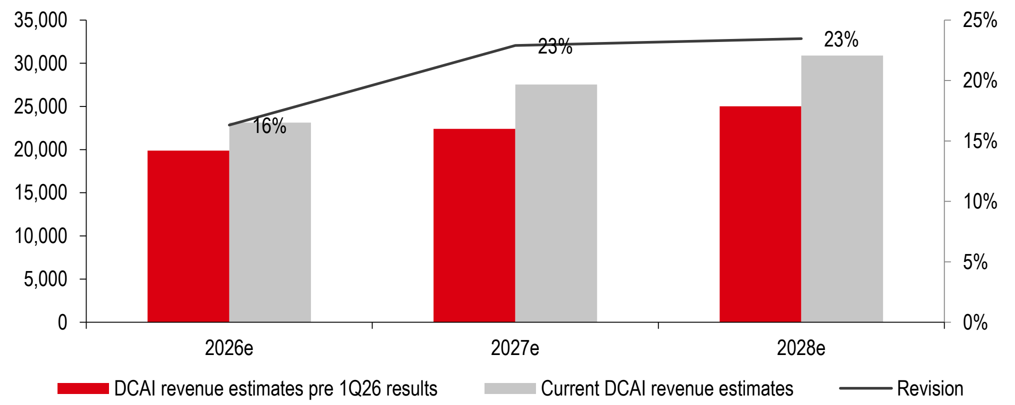
Exhibit 3: DCAI revenue breakdown

(USDm)	2024	2025	2026e	2027e
Server CPU unit shipments (000s)	17,786	16,483	20,604	26,785
- y-o-y chg		-7%	25%	30%
ASP (USD)	721	828	997	1,099
- y-o-y chg		15%	20%	10%
Server CPU revenue	12,817	13,641	20,532	29,424
Others	3,308	3,278	3,543	3,565
DCAI revenue	**16,125**	**16,919**	**24,075**	**32,989**
- y-o-y chg		5%	42%	37%

Source: Company data, HSBC estimates

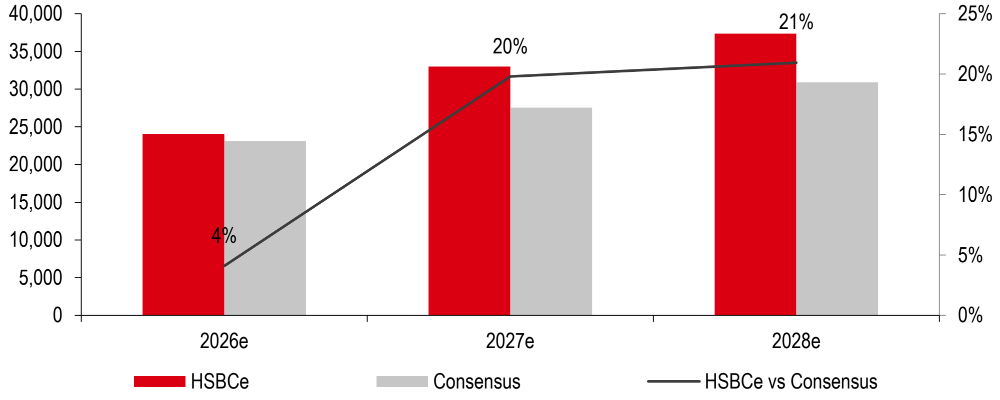
Consensus undervaluing DCAI despite aggressive estimate increase post 1Q26 results
Consensus has significantly raised its estimates for DCAI revenue since the 1Q26 results announcement where the 2Q26 guidance beat led by DCAI woke the market to Intel's potential to drive growth in DCAI led by agentic AI boom. Since the 1Q26 results, consensus has revised up its 2026/27 DCAI revenue estimates by 16%/23%. Though the gap between our 2026 DCAI revenue estimates and consensus has narrowed, we believe the street continues to underestimate the growth potential in 2027. We are more bullish on 2027e server CPU shipments as the reallocation for Intel 3/7 towards server CPUs should majorly be done and 18A should be at market competitive yield considering its already tracking 6-months ahead of internal projections.

Exhibit 4: Consensus DCAI revenue (USDm) estimate revision: pre 1Q26 result vs current



Source: Visible Alpha consensus estimates

Exhibit 5: DCAI revenue estimates (USDm) – HSBC vs consensus estimates



Source: HSBC estimates, Visible Alpha consensus forecasts

Sensitivity analysis – room for significant upside from further price hikes

Given the shortage of supply against huge demand for server CPUs, we estimate Intel could hike prices by 20% y-o-y in 2026. For now, we expect Intel's supply capacity to continue improving and hence, we expect price hike to moderate to 10% y-o-y in 2027.

We conduct sensitivity analysis, assuming Intel is able to continue to raise prices for its server CPUs in 2027, given higher mix of its most advanced Clearwater Forest – based on its 18A node, as well as sustained overall demand for server CPUs. In our Blue Sky scenario I, we assume a price hike of 15% y-o-y vs our base case of 10% y-o-y. This drives our DCAI revenue higher by 4% vs our base case and drives an EPS upside of 11% vs our base case.

In our Blue Sky scenario II, we assume a price hike of 20% y-o-y vs our base case of 10% y-o-y. This drives our DCAI revenue higher by 8% vs our base case and drives EPS 22% higher vs our base case. Our Blue sky scenario II EPS of USD2.95 is 88% higher than consensus EPS of USD1.57. This upside is more driven by the margin expansion than the revenue upside.

Exhibit 6: Sensitivity analysis – 2027e server CPU revenue

(USD m)	Base Case	Blue sky I	vs Base	Blue sky II	vs Base	Cons	Blue sky II vs Cons
Sales	**71,623**	**71,657**	**0%**	**72,991**	**2%**	**64,479**	**13%**
- y-o-y chg	22%	22%		25%		10%	
Adjusted gross profits	32,440	33,184	2%	34,519	6%	27,376	26%
- Adjusted GM	45.3%	46.3%	102bp	47.3%	200bp	42.5%	484bp
Adjusted operating profits	13,689	14,815	8%	16,149	18%	10,193	58%
- Adjusted OPM	19.1%	20.7%	156bp	22.1%	301bp	15.8%	632bp
Adjusted net income	12,324	13,648	11%	14,982	22%	8,164	84%
Adjusted EPS (USD)	**2.42**	**2.68**	**11%**	**2.95**	**22%**	**1.57**	**88%**
- y-o-y chg	82%	102%		122%		43%	
Assumptions							
Server CPU units (000s)	26,785	26,785	0%	26,785	0%		
- y-o-y chg	30%	30%	0bp	30%	0bp		
Server CPU ASP	1,099	1,148	5%	1,198	9%		
- y-o-y chg	10%	15%	500bp	20%	1000bp		
DCAI revenue	**32,989**	**34,322**	**4%**	**35,657**	**8%**	**27,538**	**29%**
- y-o-y chg	37%	43%	554bp	48%	1108bp	19%	

Source: HSBC estimates, Visible Alpha consensus forecasts

Improving foundry narrative could come to fruition soon

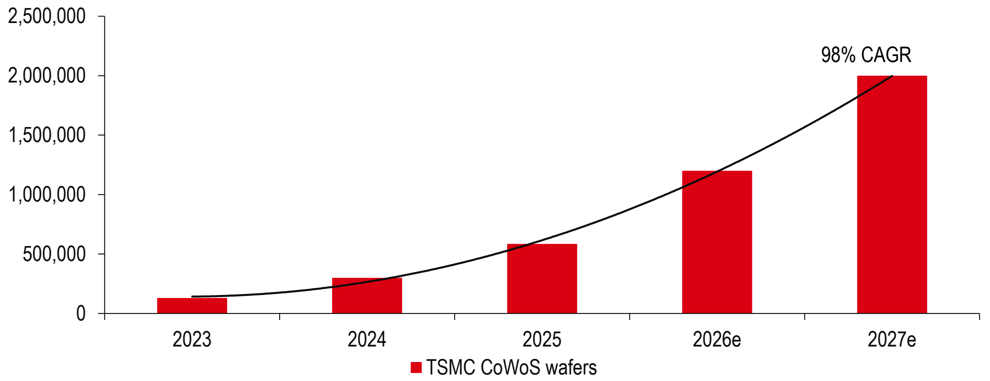
The constant rise of AI infrastructure driving demand for AI accelerators and server CPUs, along with premium smartphones and PCs early adoption of the most advanced foundry nodes, has led to tightness in advanced foundry capacity. Whether AMD's Turin server CPU or NVIDIA's Vera CPU – both are based on TSMC's 3nm technology. However, TSMC's 3nm capacity remains a bottleneck for the industry. Despite its best efforts, incremental 3nm capacity will hit the market only by 2H27e. The same is true for its advanced packaging solution – CoWoS (chip on wafer on substrate). Despite TSMC growing its CoWoS capacity at a CAGR of 98% through 2023-27e, demand continues to outstrip supply. We believe Intel Foundry could emerge as a winner from this landscape as the narrative around its front-end foundry and back-end advanced packaging process keeps getting better.

Exhibit 7: TSMC's volume production schedule

Location	Technology Node	Volume production schedule				
		1Q25	2Q25	3Q25	4Q25	1Q26
Arizona, US	3nm	2028	Changed: Pulled in by several quarters	Changed: 2H27	Maintained	Maintained
Japan, Fab 2	3nm, 6nm, 7nm	End of 2027	Maintained	Maintained	Maintained	Changed: Node upgrade to 3nm
Tainin, Taiwan	3nm					Adding new 3nm fab- volume production 2H27
Arizona, US	2nm/A16	End of decade	Maintained	Changed: Ground broken, speeding up	Maintained	Maintained
Arizona, US	2nm/A16	Post-2030	Maintained	Maintained	Changed: Applying for construction permits	Maintained
Arizona, US	<2nm	TBD	TBD	TBD	TBD	TBD

Source: Company data, HSBC

Exhibit 8: TSMC CoWoS wafers capacity



Source: HSBC estimates

Front-end foundry narrative keeps getting better

We believe Intel is executing well to turn around its front-end foundry business. After the initial hiccup with its 18A node – where it pivoted from its strategy of targeting external customers on 18A to prioritizing it for internal use due to lower-than-expected yields and pushed its ambition to onboard external foundry customers on its 14A node – it has been able to turn it around. Currently, it is tracking ahead of its internal projections by 6 months with respect to getting market competitive yields on 18A. Intel has also said that engagement on the Intel 14A process node is actually more robust and proactive than it was for Intel 18A at a comparable stage of development.

- The SpaceX, Tesla and xAI initiative – **Terafab** has already announced that the first stage of its development will be based on Intel's 14A node.
- **Google** has placed an order of 3m TPUs through 2028. These TPUs are expected to be the variants that will be designed and developed by MediaTek (The Information, 8 June).
- **Apple** will also use Intel foundry for designing and manufacturing its chips. While the exact product line for which Intel will fabricate chips for Apple remains unclear, it should help Intel lock-in steady demand, nonetheless (Reuters, 18 June).
- **NVIDIA** continues to engage with Intel Foundry – evaluating if its technology can support a new processor design that integrates four GPU dies into a single package, a development closely linked to NVIDIA's next-generation Feynman GPU architecture (The Information, 8 June).
- **Microsoft** was announced as an external foundry customer for Intel's 18A process in 2024. Following the push-out last year, the timing of its ramp remains unclear.
- **Amazon** was also announced as an external foundry customer in 2024, with Intel producing a custom AI fabric chip on 18A and custom Xeon 6 chip on Intel 3.

These engagements are across its 18A-P and 14A process nodes. For 18A-P, Intel believes that customer interest has increased due to Intel's improved manufacturing performance, particularly around the successful ramp of Panther Lake. For 14A, Intel released a 0.5 PDK in 1Q26, enabling customers to begin test chip designs to evaluate yield and performance. The 0.9 PDK is expected by October 2026 for external customers. On the back of these developments, we expect customer engagements to start converting into design commitments starting 2H26 and into 1H27.

Intel is also increasingly focussing more on its custom silicon business with the recent agreement with Google driving its ASIC revenue to a run rate of more than USD1bn. Under the agreement, Google and Intel expanded its co-development of custom ASIC-based IPUs. While the agreement doesn't specify if Google would use Intel's foundry for its IPUs, the custom silicon business may eventually drive volumes at the foundry considering Intel would have the opportunity to be a one-stop-shop for design and fabrication – something the current competitors in Broadcom and Marvell do not offer.

The foundry business remains a drag on financials with an 18% operating loss in 1Q26. Management guidance about it is for the foundry business to break even on an operating run rate basis "exiting 2027". In light of the recent developments – this target may be pushed out. However, we believe this would be net positive for Intel's foundry business as it would mean start-up costs for new designs for external customers on its foundry. The server CPU pricing power might help offset some of this operating margin drag at a corporate level.

Advanced packaging could be a more immediate catalyst driving earnings upside

As highlighted above, advanced packaging also remains a bottleneck in the AI infrastructure build. TSMC is expanding its CoWoS capacity at a rapid rate, however, we believe the majority of its most advanced CoWoS-L solution is allocated to NVIDIA. As TSMC's successor to CoWoS, the CoPoS (chip on panel on substrate) is expected to begin mass production only by the end of the decade, customers are considering Intel's EMIB as an alternative to scale to 12x reticle size, at par with CoWoS-L.

Exhibit 9: Intel's EMIB vs TSMC's CoWoS

	Intel		TSMC		
	EMIB-M	EMIB-T	CoWoS-S	CoWoS-R	CoWoS-L
Interposer	x	x	Silicon	RDL	RDL
Silicon bridge	embedded in substrate with MiM capacitor	embedded in substrate with TSV	x	x	LSI embedded in interposer
Reticle size	6x	12x	3.3x	9x (2027)	9x-12x (2027)
Price (USD per wafer)	5,000	6,000-8,000	12,000	11,000	15,000
Current product	Sapphire Rapids, Emerald Rapids, Granite Rapids	-	Hopper, TPU, MTIA, Maia etc	Trainium	Blackwell/ Rubin
Difference	Cost effective Bigger reticle size Lower bandwidth		Higher price Size limitation Higher bandwidth, speed, density		

Source: TrendForce

Intel is engaged with multiple customers for its advanced packaging EMIB solution as well.

- **Google** has placed an order for 3m TPUs to be packaged using Intel's EMIB solution (The Information, 8 June).
- **NVIDIA** is evaluating Intel's technology can support a new processor design that integrates four GPU dies into a single package, a development closely linked to NVIDIA's next-generation Feynman GPU architecture. For this, **SK Hynix** is testing whether its high-bandwidth memory works reliably with Intel's packaging (The Information, 8 June and Tom's Hardware, 10 June).
- **Meta** is also expected to be an early adopter of Intel's EMIB as CoWoS capacity remains sold out through 2027 (TrendForce, 9 June).
- **Amazon** is also reportedly in discussion with Intel to adopt the EMIB-T solution for its Trainium Chip (TrendForce, 7 April).

Therefore, we believe that customers can potentially adopt Intel's EMIB solution, even ahead of committing to its front-end foundry. This could be a more immediate catalyst as margins for advanced packaging would be higher than foundry, so can drive some margin expansion too.

Front-end and EMIB combine to drive our foundry revenue estimate increase

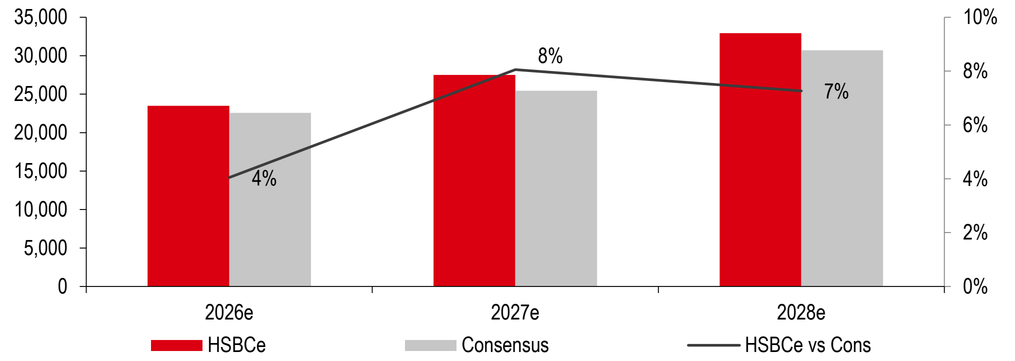
As highlighted above, driven by the onboarding of both front-end and advanced packaging external customers, we raise our Intel foundry revenue estimates to USD23.5bn for 2026e (4% above consensus) and USD27.5bn for 2027e (8% above consensus). Particularly for EMIB, the revenue could range from USD900m to USD1.2bn based on 3m TPUs.

Exhibit 10: EMIB revenue potential from Google TPU order

	Case I	Case II	Case III
Google TPU units (#)	3,000,000	3,000,000	3,000,000
Net die	20	20	20
EMIB Wafers (#)	150,000	150,000	150,000
ASP per wafer (USD)	6,000	7,000	8,000
EMIB revenue from TPU (USDm)	**900**	**1,050**	**1,200**

Source: HSBC estimates

Exhibit 11: Intel Foundry revenue – HSBC estimates vs consensus



Source: HSBC estimates, Visible Alpha consensus estimates

Sensitivity analysis on broader EMIB adoption shows meaningful earnings upside

We also conduct a sensitivity analysis based on broader adoption of Intel's EMIB solution. For 2028, we assume more meaningful volume of chips getting packaged using Intel's EMIB as multiple customers adopt its solution. We use USD7,000 as our ASP estimate, in line with the mid-point of the range. In our Blue sky scenario I, we assume 10m units of GPUs/ASICs/TPUs get packaged using EMIB-T, driving an 11% upside to foundry revenue and 12% upside to EPS vs our base case. In our Blue sky scenario II, we assume 15m units of GPUs/ASICs/TPUs get packaged using EMIB-T, driving a 16% upside to foundry revenue and 17% upside to EPS vs our base case. In our Blue sky scenario III, we assume 20m units of GPUs/ASICs/TPUs get packaged using EMIB-T, driving a 21% upside to foundry revenue and 23% upside to EPS vs our base case. Our EPS in our most optimistic case of USD3.68 is 47% higher than consensus EPS of USD2.51.

Exhibit 12: Sensitivity analysis – 2028e EMIB revenue upside from broader EMIB adoption

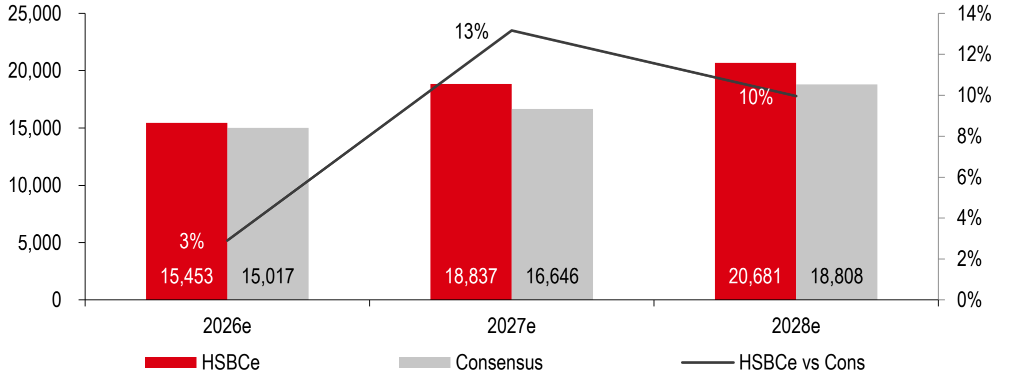
(USD m)	Base Case	Blue sky I	vs Base	Blue sky II	vs Base	Blue sky III	vs Base	Cons	Blue sky III vs Cons
Sales	78,635	82,135	4%	83,885	7%	85,635	9%	72,507	18%
- y-o-y chg	10%	40%		43%		46%		12%	
Adjusted gross profits	37,004	38,754	5%	39,629	7%	40,504	9%	33,392	21%
- Adjusted GM	47.1%	47.2%	13bp	47.2%	18bp	47.3%	24bp	46.1%	124bp
Adjusted operating profits	16,542	18,292	11%	19,167	16%	20,042	21%	15,085	33%
- Adjusted OPM	21.0%	22.3%	123bp	22.8%	181bp	23.4%	237bp	20.8%	260bp
Adjusted net income	15,215	16,965	12%	17,840	17%	18,715	23%	13,196	42%
Adjusted EPS (USD)	**2.99**	**3.34**	**12%**	**3.51**	**17%**	**3.68**	**23%**	**2.51**	**47%**
- y-o-y chg	23%	151%		164%		176%		60%	
Assumptions									
GPU/TPU/ASIC units		10,000,000		15,000,000		20,000,000			
Net die		20		20		20			
EMIB Wafers		500,000		750,000		1,000,000			
ASP per wafer		7,000		7,000		7,000			
EMIB revenue		3,500		5,250		7,000			
Intel Foundry revenue	**32,937**	**36,437**	**11%**	**38,187**	**16%**	**39,937**	**21%**	**30,706**	**24%**
- y-o-y chg	20%	55%		63%		70%		21%	

Source: HSBC estimates, Visible Alpha consensus estimates

Positive foundry momentum could drive upside to capex

With Intel starting to onboard external customers and enhanced customer engagements that are expected to convert into design commitments starting 2H26 through 1H27, we believe there could be upside to Intel's capex as well. At its 1Q26 earnings conference, Intel raised 2026 capex guidance to flat y-o-y vs prior guidance of capex being down to flat y-o-y. With more external customers onboarded since then, we believe that Intel could see a more aggressive capex growth in 2027/28. Our 2027 capex estimate of USD18.8bn is now 13% above consensus estimates of USD16.5bn. Our 2028 capex estimate of USD20.7bn is now 10% above the consensus estimate of USD18.8bn.

Exhibit 13: Capex estimates (USDm) – HSBC estimates vs consensus



Source: HSBC estimates, Visible Alpha consensus estimates

Intel Foundry leadership hirings support ambition

Amid all the buzz around Intel's back-end advanced packaging solutions winning orders and gaining customer engagement, Intel has hired Seok-Hee Lee as executive vice president of Intel Foundry. Mr Lee will lead all advanced packaging, system integration, back-end technology development, and back-end manufacturing. Having previously served as CEO for SK Hynix, we believe Mr Lee is a strong choice to lead the advanced packaging given memory integration is a critical differentiator in various advanced packaging solutions.

The hiring of Mr Lee follows the hiring of Shawn Han as Senior Vice President and General Manager of Intel Foundry in April. Mr Han has 30 years of experience at Samsung, most recently overseeing sales at Samsung Foundry. This hiring again came at the time when Intel was seeing increasing customer engagements for its front-end foundry.

Exhibit 14: Intel quarterly and annual P&L

(USDm)	1Q26	2Q26e	3Q26e	4Q26e	2026e	1Q27e	2Q27e	3Q27e	4Q27e	2027e	2028e
Sales	13,577	14,626	15,055	15,499	58,758	17,253	17,241	17,672	19,457	71,623	78,635
- y-o-y	7%	14%	10%	13%	11%	27%	18%	17%	26%	22%	10%
- q-o-q	-1%	8%	3%	3%		11%	0%	3%	10%		
Gross profits	5,347	5,434	6,098	6,426	23,305	7,419	7,466	7,713	8,601	31,200	35,764
Gross margin	39%	37%	41%	41%	40%	43%	43%	44%	44%	44%	45%
- y-o-y	14%	53%	17%	30%	27%	39%	37%	26%	34%	34%	15%
- q-o-q	8%	2%	12%	5%		15%	1%	3%	12%		
Operating profits	-3,136	-1,279	1,196	1,636	-1,583	-2,747	-199	2,194	3,283	2,532	4,395
OP margin	-23%	-9%	8%	11%	-3%	-16%	-1%	12%	17%	4%	6%
- y-o-y	942%	-60%	75%	182%	-28%	-12%	-84%	83%	101%	-260%	74%
- q-o-q	-641%	-59%	-194%	37%		-268%	-93%	-1200%	50%		
Net income	-3,728	-1,270	942	1,343	-2,713	-2,585	-319	1,822	2,830	1,748	3,850
- y-o-y	354%	-56%	-77%	-327%	916%	-31%	-75%	93%	111%	-164%	120%
- q-o-q	531%	-66%	-174%	43%		-292%	-88%	-672%	55%		
Net margin	-27%	-9%	6%	9%	-5%	-15%	-2%	10%	15%	2%	5%
EPS (USD)	-0.73	-0.25	0.19	0.26	-0.53	-0.51	-0.06	0.36	0.56	0.34	0.76
- y-o-y	288%	-63%	-79%	-317%	805%	-31%	-75%	93%	111%	-164%	120%
- q-o-q	503%	-66%	-174%	43%		-292%	-88%	-672%	55%		
Non-GAAP (Adjusted)											
Gross profit	5,570	5,704	6,368	6,696	24,338	7,729	7,776	8,023	8,911	32,440	37,004
Gross margin	41.0%	39.0%	42.3%	43.2%	41.4%	44.8%	45.1%	45.4%	45.8%	45.3%	47.1%
Operating profit	1,668	1,641	2,159	2,371	7,839	3,242	3,152	3,238	4,058	13,689	16,542
Operating margin	12.3%	11.2%	14.3%	15.3%	13.3%	18.8%	18.3%	18.3%	20.9%	19.1%	21.0%
Net income	1,485	1,599	1,755	1,929	6,769	3,272	2,883	2,715	3,455	12,324	15,215
EPS (USD)	0.29	0.31	0.35	0.38	1.33	0.64	0.57	0.53	0.68	2.42	2.99
- y-o-y	119%	-412%	53%	140%	213%	120%	80%	55%	79%	82%	23%
- q-o-q	85%	8%	10%	10%		70%	-12%	-6%	27%		

Source: Company data, HSBC estimates

Exhibit 15: Intel: Estimate revisions and comparison with consensus

	HSBC - New			HSBC - Old			Revision			Consensus			HSBC vs consensus		
(USD m)	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e	2026e	2027e	2028e
CCG	*30,890*	*31,826*	*31,521*	*30,890*	*31,826*	*31,521*	0%	0%	0%	*31,697*	*31,953*	*33,775*	-3%	0%	-7%
DCAI	***24,075***	***32,989***	***37,361***	***23,218***	***29,415***	***32,471***	**4%**	**12%**	**15%**	***23,127***	***27,538***	***30,893***	**4%**	**20%**	**21%**
Total Intel Products revenue	54,965	64,815	68,881	54,108	61,241	63,992	2%	6%	8%	54,978	59,490	64,668	0%	9%	7%
Intel Foundry	**23,486**	**27,500**	**32,937**	**20,443**	**22,096**	**26,768**	**15%**	**24%**	**23%**	**22,572**	**25,450**	**30,706**	**4%**	**8%**	**7%**
All others	2,389	2,709	2,962	2,614	2,909	2,962	-9%	-7%	0%	2,374	2,656	2,999	1%	2%	-1%
Intersegment eliminations	-22,083	-23,400	-26,145	-19,579	-19,512	-20,384	13%	20%	28%	-21,491	-22,899	-26,151	3%	2%	0%
Sales	**58,758**	**71,623**	**78,635**	**57,587**	**66,734**	**73,338**	**2%**	**7%**	**7%**	**58,551**	**64,479**	**72,507**	**0%**	**11%**	**8%**
- y-o-y chg	11%	22%	10%	9%	16%	10%				11%	10%	12%			
Adjusted gross profits	24,338	32,440	37,004	23,787	30,058	33,649	2%	8%	10%	23,545	27,376	33,392	3%	18%	11%
- Adjusted GM	**41.4%**	**45.3%**	**47.1%**	**41.3%**	**45.0%**	**45.9%**				**40.2%**	**42.5%**	**46.1%**			
Adjusted operating profits	7,839	13,689	16,542	6,866	12,095	13,969	14%	13%	18%	7,268	10,193	15,085	8%	34%	10%
- Adjusted OPM	13.3%	19.1%	21.0%	11.9%	18.1%	19.0%				12.4%	15.8%	20.8%			
Adjusted net income	6,769	12,324	15,215	5,965	10,958	12,730	13%	12%	20%	5,634	8,164	13,196	20%	51%	15%
Adjusted EPS (USD)	**1.33**	**2.42**	**2.99**	**1.17**	**2.16**	**2.50**	**13%**	**12%**	**20%**	**1.10**	**1.57**	**2.51**	**21%**	**55%**	**19%**
- y-o-y chg	213%	82%	23%	176%	84%	16%				163%	43%	60%			

Source: Company data, HSBC estimates, Visible Alpha consensus estimates

Valuation and risks

We derive our street-high rounded target price of USD200.00 (raised from USD100.00 previously) based on a sum-of-the-parts valuation approach.

Earlier we used a target PE to value the core business, but we did not include Intel Foundry in the valuation owing to uncertainties regarding external customers.

For our SOTP valuation, we segregate Intel's business into its core segment, including DCAI, client and all others, and its foundry segment.

We assume Intel foundry's non-GAAP operating margin of -10.9% in 2027e with the corporate non-GAAP operating margin of 19.1% being driven by the core segment (non-GAAP operating margin of 30.0%). Allocating the non-op expenses in the ratio of revenue mix, we derive our non-GAAP EPS of USD4.06 for the core business and loss of USD1.64 per share for the foundry segment for 2027.

We apply a 30x (previously 26x) 2027e target PE multiple to the core business EPS which derives our rounded implied value per share of USD120 for the core business. Previously we used a 26x 2027e target PE for the core business based on a 10% premium to 1SD above historical average PE – for the historical average, we consider 1-year forward historical PE trend from March 2021 (announcement of IDM 2.0 strategy) to September 2025 (prior to foundry narrative led re-rating). Now, given our more aggressive growth estimates with room for further upside driven by price hikes, we raise the multiple to 30x, in line with 2SD above the historical average.

Given the improving narrative around Intel foundry, driven by the reasons mentioned in this note, we now believe Intel Foundry warrants to be included in our SOTP as it remains a focus area for investors. Intel's Book Value of USD134.5bn is driven mostly by property, plant and equipment (PPE) – which we believe can be mostly attributed to the foundry business. As PPE contributed 86% to the book value, we assume 86% of the total book value is the book value for the foundry business. With an implied BV of USD115.2bn, we calculate the BVPS for foundry business of USD22.66. We use a target 2027e PB of 3.5x – slightly below the average 2027e PB for second tier foundries (3.8x). We benchmark it only against the second-tier foundries, and not TSMC, which trades at 6.5x PB as we await customer confirmations and improving margins from the foundry business. The operating margin being lower than second-tier foundries average operating margin also justifies the discount to the per average. Applying our 2027e target PB of 3.5x to Foundry BVPS of USD22.66 gives us our rounded implied fair value per share for the foundry business of USD80.

Adding the value derived for the core business and foundry business gives us our street-high target price of USD200. With c58% implied upside, we retain our Buy rating. We believe the server CPU growth could continue to drive upside to earnings coupled with improving Intel Foundry narrative.

Exhibit 16: Sum of the parts valuation table

(USDm)	Core	Foundry	Total
Core business valuation			
Revenue	44,123	27,500	71,623
Mix	62%	38%	
Adjusted operating profits	21,487	-7,798	13,689
- Adjusted OPM	30.0%	-10.9%	19.1%
Non-op income/(expenses)	-841	-524	-1,365
Adjusted net income	20,646	-8,322	12,324
Adjusted EPS (USD)	**4.06**	**(1.64)**	**2.42**
Target PE	30x	0x	
Rounded implied price (USD)	**120.00**	**0.00**	
Foundry business valuation			
Intel Book Value			134,506
PPE as % of Book Value			86%
Intel Foundry Book Value		115,159	
Intel Foundry BVPS		22.66	
Target PB		3.5x	
Rounded implied price (USD)		**80.00**	
Intel target price (USD)	**120.00**	**80.00**	**200.00**
Implied upside			57.5%

Upside based on price as of close 1 July 2026 Source: HSBC estimates, Bloomberg

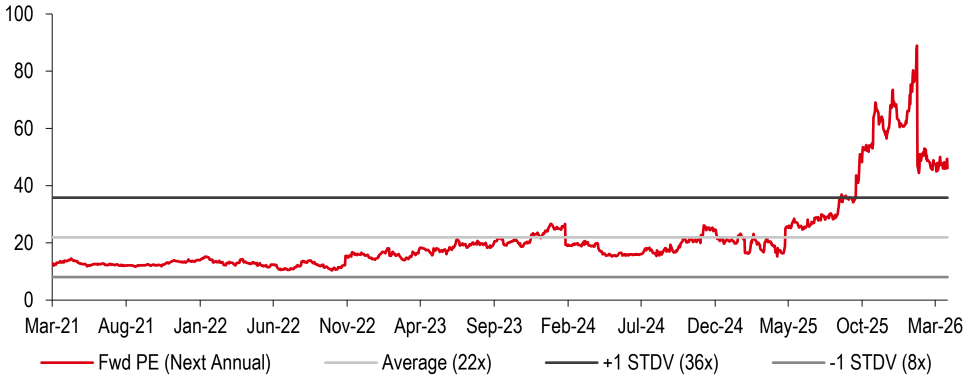
Exhibit 17: Comps

						PE (x)		PB (x)		EPS growth		OM	
Company	**Ticker**	**Currency**	**CMP**	**TP**	**Rating**	**2026e**	**2027e**	**2026e**	**2027e**	**2026e**	**2027e**	**2026e**	**2027e**
Intel	INTC US	USD	127.02	200.00	Buy	95x	52x	5.3x	4.8x	213%	82%	13.3%	19.1%
Advanced foundry													
TSMC	2330 TT	TWD	2,505.00	2,800.00	Buy	26x	21x	8.7x	6.5x	46%	24%	57.6%	56.5%
Second-tier foundries													
GlobalFoundries	GFS US	USD	77.23	92.00	Hold	40x	30x	3.6x	3.5x	13%	32%	17.7%	20.5%
United Microelectronics	2303 TT	TWD	169.00	235.00	Buy	34x	18x	6.9x	4.2x	48%	88%	21.8%	28.2%
Vanguard	5347 TT	TWD	204.50	220.00	Buy	35x	21x	4.9x	4.0x	36%	69%	19.4%	21.9%
SMIC	981 HK	HKD	89.40	93.00	Buy	78x	46x	4.0x	3.7x	67%	69%	12.3%	14.6%
Second-tier foundry average						**47x**	**29x**	**4.9x**	**3.8x**	**41%**	**64%**	**17.8%**	**21.3%**

Source: Bloomberg, HSBC estimates,

Note: Priced as of close of 1 July 2026

Exhibit 18: Intel: Forward PE trend (March 2021 – September 2025)



Source: FactSet

		Valuation	**Risks**
Intel Corp INTC US **Buy**	Current price: **USD127.02** Target price: **USD200.00** Up/Downside: **+57.5%**	**Methodology:** FY27e SOTP PE multiple **Assumptions:** Target FY27e PE multiple of 30x applied to our core business 2027e EPS of USD4.06, implying value of core business at USD120. Target FY27e BVPS of 3.5x applied to foundry BVPS of USD22.66 implying foundry business value of USD80.	**Downside risks:** 1) Worse-than-expected server CPU unit shipments; 2) weaker-than-expected server CPU pricing hike; and 3) higher margin dilution due to foundry ramp.

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Note: Priced at close of 1 July 2026.
*Employed by a non-US affiliate of HSBC Securities (USA) Inc, and is not registered/ qualified pursuant to FINRA regulations
Source: Bloomberg, HSBC estimates

Exhibit 19: Companies mentioned in this report

Company	Ticker	Currency	CMP	TP	Rating
TSMC	2330 TT	TWD	2,505.00	2,800.00	Buy
Apple	AAPL US	USD	298.01	260.00	Hold
Alphabet	GOOGL US	USD	361.21	420.00	Buy
NVIDIA	NVDA US	TWD	197.58	325.00	Buy
Microsoft	MSFT US	USD	384.28	571.00	Buy
Amazon	AMZN US	USD	241.70	310.00	Buy
Meta	META US	USD	612.91	905.00	Buy
AMD	AMD US	USD	540.88	380.00	Hold
Tesla	TSLA US	USD	400.49	123.00	Reduce
SpaceX	SPCX US	USD	185.00	Not covered	Not covered
SK Hynix	000660 KS	KRW	2,560,000.00	4,000,000.00	Buy
Samsung Electronics	005930 KS	KRW	314,500.00	450,000.00	Buy

Source: Bloomberg, HSBC estimates
CMP as on close of 1 July 2026

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Frank Lee

Important disclosures

Equities: Stock ratings and basis for financial analysis

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 31 March 2026, the distribution of all independent ratings published by HSBC is as follows:

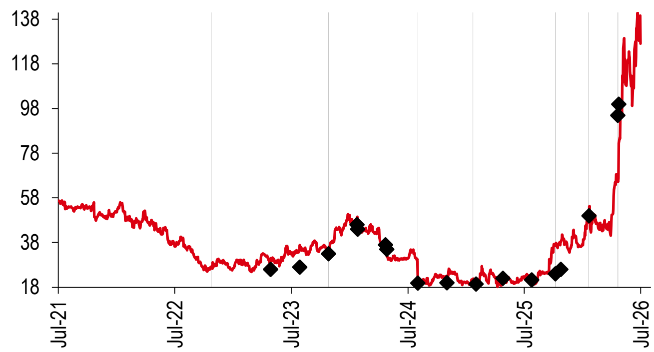
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

For the distribution of non-independent ratings published by HSBC, please see the disclosure page available at *http://www.hsbcnet.com/gbm/financial-regulation/investment-recommendations-disclosures*.

Share price and rating changes for long-term investment opportunities

Intel Corp (INTC.OQ) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Reduce	23 Oct 2022	Frank Lee
Reduce	Hold	27 Oct 2023	Frank Lee
Hold	Reduce	02 Aug 2024	Frank Lee
Reduce	Hold	21 Jan 2025	Frank Lee
Hold	Reduce	07 Oct 2025	Frank Lee
Reduce	Hold	20 Jan 2026	Frank Lee
Hold	Buy	21 Apr 2026	Frank Lee
Target price	**Value**	**Date**	**Analyst**
Price 1	26.00	28 Apr 2023	Frank Lee
Price 2	27.00	28 Jul 2023	Frank Lee
Price 3	33.00	27 Oct 2023	Frank Lee
Price 4	46.00	24 Jan 2024	Frank Lee
Price 5	44.00	26 Jan 2024	Frank Lee
Price 6	37.00	22 Apr 2024	Frank Lee
Price 7	35.00	26 Apr 2024	Frank Lee
Price 8	19.80	02 Aug 2024	Frank Lee
Price 9	20.00	01 Nov 2024	Frank Lee
Price 10	19.50	31 Jan 2025	Frank Lee
Price 11	22.00	25 Apr 2025	Frank Lee
Price 12	21.25	25 Jul 2025	Frank Lee
Price 13	24.00	07 Oct 2025	Frank Lee
Price 14	26.00	24 Oct 2025	Frank Lee
Price 15	50.00	20 Jan 2026	Frank Lee
Price 16	95.00	21 Apr 2026	Frank Lee
Price 17	100.00	24 Apr 2026	Frank Lee

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
INTEL CORP	INTC.OQ	127.02	01 Jul 2026	6, 7

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